

rerating of valuations. Oil and gas PSUs, however, have not delivered strong earnings consistently,” says Padiyar. He advises investors to focus on the PSU space and says risk-reward is favourable for banking and oil and gas companies. Energy-related mutual funds witnessed an average gain of 4.53% last year. Ramaraju agrees. “PSUs, in the past one year, underperformed due to profit-booking after a strong multi-year rally. Concerns over valuation sustainability, and a lack of fresh growth triggers in the recent Budget, triggered the fall. Sectors like PSU banks, defence, and infrastructure, which led the previous upcycle, have seen some correction.”

Looking ahead, Ramaraju says while the long-term PSU structural story remains intact, driven by government reforms, improved fundamentals and strong order books and balance sheets, the near-term performance could remain range-bound due to elevated valuations and uncertainties.

On the other hand, with a one-year average return of 20.85% till March 21, 2025, pharma-related funds outpaced other major equity categories. HDFC Pharma and Healthcare fund gained the most (36.47%). It was followed by WhiteOak Capital Pharma and Healthcare (up 35.54%) and SBI Healthcare Opportunities (up 26.6%). Padiyar credits this to less pricing pressure in the US market over the past 12-24 months. “Historically, every Indian company wanted to become big in the US market, leading to overcrowding and high pricing pressure, which in turn forced many to rethink their new molecule filing strategy. This consolidation has benefited the sector,” he says.

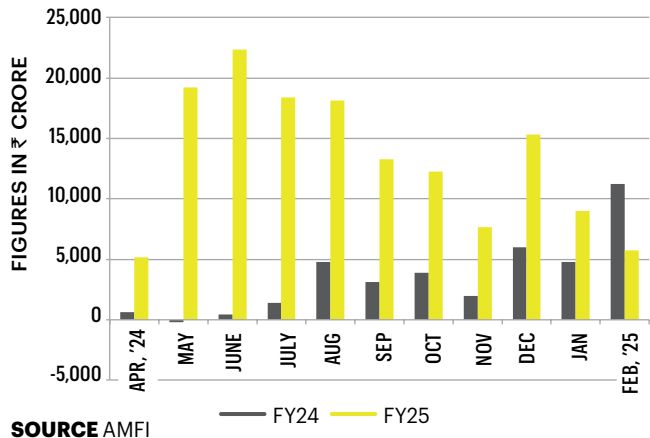
Technology funds have gained 4.92% in the past 12 months, while banking and consumption-related funds have returned 9% and 10%, respectively. Misra of Mirae Asset Investment Managers (India) says the technology sector was supported by a sequential improvement in growth. He says while the outlook for the sector has been improving, a cloud of uncertainty has arisen because of the potential impact of US tariffs.

Commenting on the banking sector,

CAUTIOUS MODE ON

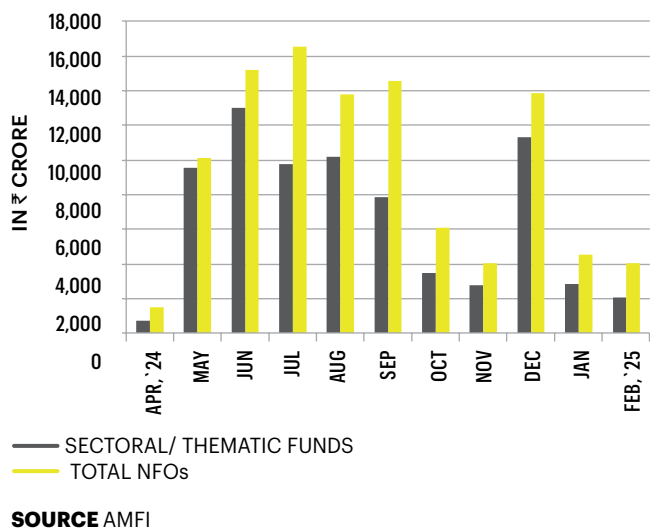
► Inflows into sectoral/thematic funds have slowed in the past two months

► Still, net inflows jumped more than 200% in FY25 till February



NEW FUNDS IN TOWN

► The launch of new fund offers supported net inflows into sectoral and thematic funds



₹73,593 CRORE

AMOUNT RAISED BY SECTORAL OR THEMATIC NFOs DURING APRIL 2024-FEBRUARY 2025 AS AGAINST TOTAL NFOs OF ₹1 LAKH CRORE